

doesn't mean pay yourself first and starve. Life was meant to be enjoyed. If you call on your financial genius, you can have all the goodies of life, get rich and pay bills, without sacrificing the good life. And that is financial intelligence.

6. **PAY YOUR BROKERS WELL:** The power of good advice. I often see people posting a sign in front of their house that says, "For Sale by Owner." Or I see on TV today many people claiming to be "Discount Brokers."

My rich dad taught me to take the opposite tack. He believed in paying professionals well, and I have adopted that policy also. Today, I have expensive attorneys, accountants, real estate brokers and stockbrokers. Why? Because if, and I do mean if, the people are professionals, their services should make you money. And the more money they make, the more money I make.

We live in the Information Age. Information is priceless. A good broker should provide you with information as well as take the time to educate you. I have several brokers who are willing to do that for me. Some taught me when I had little or no money, and I am still with them today.

What I pay a broker is tiny in comparison with what kind of money I can make because of the information they provide. I love it when my real estate broker or stockbroker makes a lot of money. Because it usually means I made a lot of money.

A good broker saves me time in addition to making me money-as when I bought the piece of vacant land for \$9,000 and sold it immediately for over \$25,000, so I could buy my Porsche quicker.

A broker is your eyes and ears to the market. They're there every day so I do not have to be. I'd rather play golf.

Also, people who sell their house on their own must not value their time much. Why would I want to save a few bucks when I could use that time to make more money or spend it with those I love? What I find funny is that so many poor and middle class people insist on tipping restaurant help 15 to 20 percent even for bad service and complain about paying a broker 3 to 7 percent. They enjoy tipping people in the

expense column and stiffing people in the asset column. That is not financially intelligent.

All brokers are not created equal. Unfortunately, most brokers are only salespeople. I would say the real estate salespeople are the worst.

They sell, but they themselves own little or no real estate. There is a tremendous difference between a broker who sells houses and a broker who sells investments. And that is true for stock, bond, mutual fund and insurance brokers who call themselves financial planners. As in the fairy